Kapasa Makasa University

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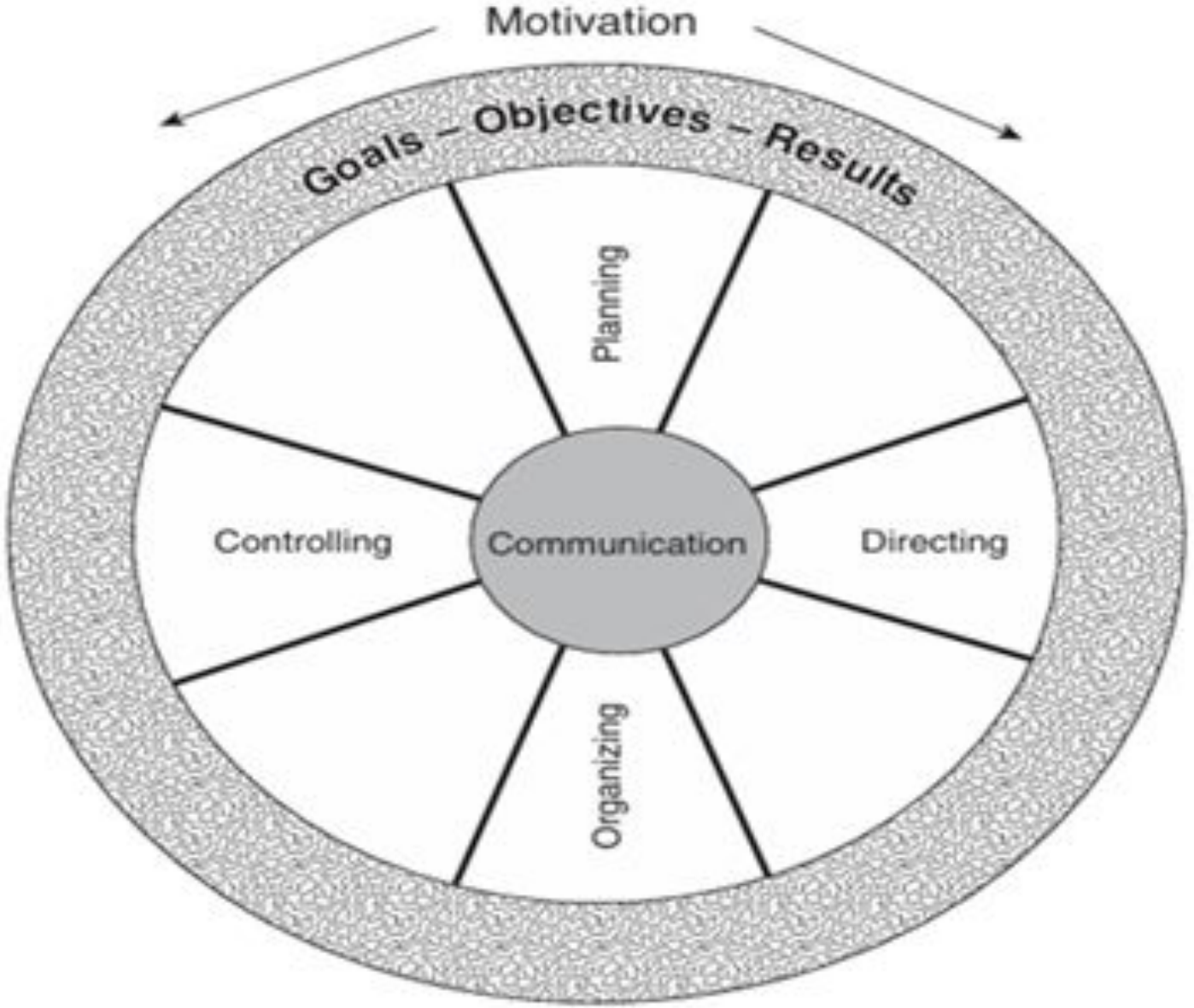
Agribusiness Management (SA: 500)

Lecture 5: Management Concepts in Agribusiness

by

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Introduction

- Management is one of the most important of all human activities.
- For every organisation to operate efficiently and profitably, there must be certain people entrusted with the responsibility of helping the organisation achieve its goals.
- These people are called managers.
- No organisation can carry on its business without management.
- The main purpose of management is to achieve organisational policy objectives through the maximum utilization of resources; human, financial, physical, and informational resources to obtain the best possible results.
- In agribusiness, management plays a critical role due to the biological, seasonal, risky, and market-oriented nature of agricultural production and value chains.

Objectives

At the end of this lecture, students should be able to understand:

- The Concept of Management in Agribusiness
- Definitions of Management
- Definition of Agribusiness Management
- Scope of Management in Agribusinesses

The Concept of Management in Agribusiness

- Management refers to the coordinated activities of planning, organizing, directing, and controlling resources in order to achieve predetermined objectives.
- In agribusiness, management must deal with additional complexities such as biological production cycles, market volatility, perishability of products, climate risks, and policy intervention.
- Agribusiness management integrates economic, technical, and managerial decision-making across the entire agricultural value chain from input supply to final consumption.

Definitions of Management

There are several definitions of management:

Henry Fayol, who is considered the father of principles of management, refers to management as:

- "To manage is to forecast, to plan, to organise, to command, coordinate and to control."

Frederick Winslow Taylor defines management as:

- "Knowing exactly what you want men to do and then seeing that they do it in the best and cheapest way."

Mary Parker Follett looks at management as:

- "The art of getting things done through people."

Definitions of Management

Peter Drucker refers to management as:

- "A multi-purpose organ that manages a business, manages managers and manages workers and work."

George Terry builds on Fayol's concept by defining management as:

- "A distinct process consisting of planning, organising, actuating, and controlling performance to determine and accomplish the objectives by the use of people and resources."

All these definitions emphasize:

- Achievement of organisational objectives
- Use of a systematic management process
- Effective utilization of resources
- Human coordination as central to success

Definition of Agribusiness Management

- Agribusiness management is the application of management principles to agribusiness firms across the agricultural value chain.
- It involves the planning, organising, directing, and controlling of agricultural and agribusiness activities to achieve efficiency, profitability, and sustainability.

The Primary Goal of Agribusiness Management

The primary goal of agribusiness management is to **maximize efficiency** and **profitability** while ensuring:

- Responsible use of resources
- Environmental sustainability
- Food safety and quality
- Consumer satisfaction

Roles of Agribusiness Managers

There are four main roles (or processes) of agribusiness management:

(i) Planning: Setting objectives, budgets, production targets, and strategies

(ii) Organising: Structuring tasks, delegating authority, and coordinating resources.

(iii) Directing: Leading, motivating, influencing, and communicating with employees

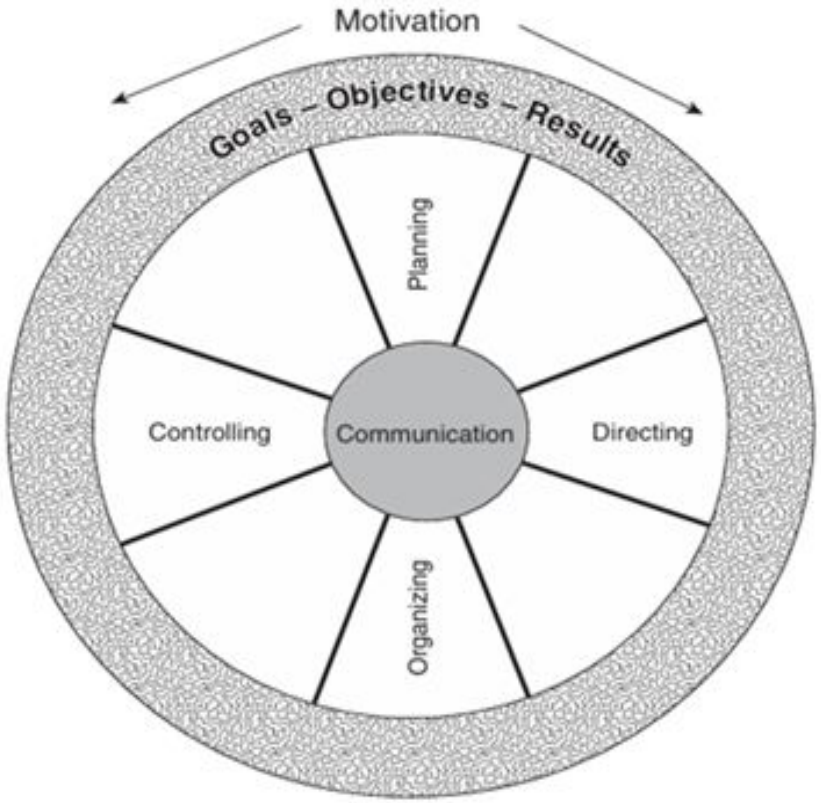
(iv) Controlling: Monitoring performance, comparing actual results with planned targets, and taking corrective action where deviations occur

These four tasks convert disorganised resources which include; men, machines, materials, and methods into productive outcomes.

Roles of Agribusiness Managers

The Wheel of Management Concept

These processes are best explained by the figure below which illustrates them as a wheel of management:



- The four tasks of management are the spokes that connect the manager with the goals, objectives, and results desired by the organization.
- Weakness in any of the four spokes in this wheel can result in failure to attain the set goals.
- Motivation is the speed with which the tasks are accomplished makes the wheel either move forward or reverses.
- Communication is the axle of the wheel of management which turns everything in an organization.

The Scope of management in agribusiness

- The scope of agribusiness management refers to the broad areas in which agribusiness managers must make decisions to ensure success.
- In large agribusiness firms, management responsibilities are specialized.
- In small farms, a single individual may perform multiple managerial roles simultaneously.

The following are the functions of agribusiness management:

(i) Marketing management

(ii) Financial management

(iii) Supply chain management

(iv) Human resource management

- Regardless of firm size, managers must function in all these areas.

The End